

HOUSE BILL 2502

By Sexton

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 38; Title 39; Title 45; Title 47; Title 49 and
Title 67, relative to money transmission.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-205(c), is amended by adding the following as a new subdivision (10):

(10) The transmitting of money from a location originating in this state to a location outside of the United States or its territories by an entity licensed under the Money Transmission Modernization Act, compiled in title 45, chapter 7;

SECTION 2. Tennessee Code Annotated, Section 67-6-205(b), is amended by deleting "Notwithstanding any other provision of law to the contrary," and substituting "Except as provided in subsection (d) and notwithstanding any other law to the contrary,".

SECTION 3. Tennessee Code Annotated, Section 67-6-205, is amended by adding the following as a new subsection (d):

(d) Notwithstanding § 67-6-103 or any other law to the contrary, revenues generated from the tax imposed by subdivision (c)(10):

(1) Must be deposited in a special account in the state general fund to be known as the international money transmission tax fund. Revenues must be retained in the account until such time as the revenues are unencumbered. Revenues are unencumbered on July 1 of each year after the expiration of the refund application period described in subdivision (d)(3);

(2) May be invested by the state treasurer pursuant to title 9, chapter 4, part 6 for the sole benefit of the international money transmission tax fund while encumbered;

(3) Are subject to refund upon application made by the individual who paid the tax imposed by subdivision (c)(10); provided, that the application must be submitted to the department between June 1 and June 30 and include the applicant's social security number or taxpayer identification number in addition to proof of the taxes paid and any additional information the department may require; and

(4) Must be allocated and distributed on July 1 of each year as follows:

(A) Twenty-five percent (25%) to the state general fund;

(B) Twenty-five percent (25%) to all counties and metropolitan governments in this state in proportion as the population of each county or metropolitan government bears to the aggregate population of the state, according to the latest federal census, to be used for capital improvement projects and infrastructure expenditures;

(C) Twenty-five percent (25%) to the K-12 education teacher compensation fund that is hereby created in the state treasury to be:

(i) Used to provide a pool of funds for employee salary increases or bonuses for teachers;

(ii) Allocated each August 1 to local education agencies throughout the state in accordance with rules promulgated by the department of education; and

(iii) Allocated by each local education agency for salary increases or bonuses for teachers according to the agency's salary and compensation schedules or bonus program; and

(D) Twenty-five percent (25%) to the Tennessee peace officer standards and training commission to provide an additional pay supplement to law enforcement officers who, pursuant to § 38-8-111, complete in-service training requirements and receive the corresponding pay supplement provided by that statute.

SECTION 4. For purposes of promulgating rules and forms, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2027, the public welfare requiring it.